

of 1929 was a natural result. Again that shows how Contrary Opinion works. Crowds, when they carry often sound ideas to foolish extremes, tend to commit suicide. Ideally stock market prices should express average opinion of a fair estimate of probabilities and generally this is so. In other words, every price in itself is a healthy exercise of a kind of Contrary Opinion. I am referring to that part of the stock exchange transactions which you might call voluntary, not the necessity kind. Every transaction represents an opinion by the buyer that the price is wrong, it ought to be or become higher. And by the seller that the price is wrong, it ought to be or become lower. You go on beyond that and you get opinions of stock by the general public and you get a new element coming in. The crowd tends to suck others in its train so that A thinks thus because B does and B because C and so on. A body of general opinion tends to work on itself and create other similar opinions like a thunderstorm creating its own wind. A mass opinion tends to grow on itself, and here I believe is the heart and soul of the Contrary Opinion doctrine. It is this artificially engendered superheated general opinion that it pays to "copper" because it isn't really an opinion at all—it's a crowd psychology phenomenon. Now, all of us have inside of us a part of the crowd. I have always wondered about Humphrey and just how he gets his dope on what general opinions are. I never have to go outside the confines of my own room. Every one of us has a tuning fork inside of himself that vibrates to a greater or lesser extent along with the crowd. It works so uniformly that when sometimes I talk to salesmen of mutual funds I give them a rule, which is this: That the more it hurts them and the more they have to fight themselves to make a sale, the better it will be for the customer and also for the salesman himself. And that just means going contra to his inborn crowd segment.

That is the thing you get in the kind of area where you have superheated opinions—where the thing builds itself up. Another analogy is the chain letter effect. Are there any of you who are old enough to remember the chain letter? They